

IN THE HIGH COURT OF JUDICATURE AT BOMBAY
CIVIL APPELLATE JURISDICTION

WRIT PETITION NO. 3674 OF 2026

Nilesh Pratap Sagalia Legal Heir of
Late Mr. Pratap Lalchand Shah

... Petitioner

V/s.

Income Tax Officer, Ward 5(1), Pune and Ors.

... Respondents

Mr. Bhuvanesh Kankani a/w. Mayur Suhas Garad for the Petitioner
Mr. Vikas Khanchandani for the Respondents/Revenue

CORAM : B.P. COLABAWALLA AND
FARHAN P. DUBASH, JJ.

DATE : 11th SEPTEMBER 2026

P.C. :

1. The above Writ Petition is filed seeking to quash and set aside the Show Cause Notice dated 28th June 2021 issued under Section 148A(b) of the Income Tax Act, 1961 ("**the Act**"), the impugned Order dated 21st July 2022 passed under Section 148A(d) of the Act, and impugned re-opening Notice dated 21st July 2022 issued under Section 148 of the Act. Additionally, the Assessment Order passed pursuant to the said Notice dated 8th May 2023 and the impugned Demand Notice of the same date issued under Section 156 of the Act are also assailed.

2. The Assessment Year in question is Assessment Year 2017-18. The principal ground on which all these Notices and Orders are challenged is that initially the Show Cause Notice as well as the Order passed under Section 148A(b) as well as the impugned Notice under Section 148 of the Act were all issued in the name of a dead person viz. Mr. Pratap Lalchand Shah (the father of the Petitioner), who passed away on 25th September 2018.
3. After the aforesaid Petition was served upon the Respondent - Revenue, the learned Counsel appearing on behalf of the Respondent – Revenue has received written instructions from one Mr. Sanjeev Kumar Sharma, Income Tax Officer (HQ) 3(2), Pune instructing the learned Advocate that in view of the fact that Mr. Pratap Lalchand Shah had already expired by the time the re-assessment proceedings were initiated, a request may be made to the High Court to quash and set aside the current re-assessment proceedings. These written instructions are tendered to the Court which are taken on record and marked 'X' for identification. For the sake of convenience, the said instructions are reproduced hereunder :-

“To,
Adv. Vikas Khanchandani
Sr. Standing Counsel,
A-604, Garden Estates, Off Link Road,
Laxmi Nagar, Goregaon West, Mumbai – 400 104

Sir,

Sub: *Directions in the case of Nilesh Pratap Sagalia as legal heir of deceased (his father) Mr. Pratap Lalchand Shah for AY 2016-17 to 2018-19 in Writ Petitions filed by the assessee and withdrawal of appeal filed before Hon’ble High Court-reg..*

Ref.: Your E-mail dated 19/03/2026

Kindly refer to the above.

02. As reported by the AO, proceedings u/s. 148 of the Act for all the AYs involved were initiated in the name of the deceased person i.e. Mr. Pratap Lalchand Shah after his death i.e. 25/09/2018 rather than in the name of his legal heir Mr. Nilesh Pratap Sagalia. Therefore, in view of the present legal position, the notices issued u/s. 148 of the Act in the name of a deceased person is non-est and therefore, the proceedings are not valid even though the assessment is completed in the name of Nilesh Pratap Sagalia, legal heir of Pratap Lalchand Shah.

03. However, the information received in these cases were consequent to a search & seizure action in the case of Shri Renuka Mata Multi Urban Co-operative Credit Society Ltd. Therefore, the case in the name of Nilesh Pratap Sagalia as legal heir of deceased (his father) Mr. Pratap Lalchand Shah will be re-opened u/s 148 of the Act as the quantum is more than 50 lacs for all the AYs.

03. In view of the above-mentioned facts, a request may be made to the Hon’ble HC to be quash and set aside the current assessment proceedings.

Yours faithfully,

(Sanjeev Kumar Sharma)

Income Tax Officer (HQ) 3(2), Pune
O/o Pr. Commissioner of Income Tax-3, Pune.

Encl: A/a

Copy to:

1. The Addl.CIT, Range-5, Pune
2. The ITO, Ward-5(1), Pune

Income Tax Officer (HQ) 3(2), Pune
O/o Pr. Commissioner of Income Tax-3, Pune.”

4. In light of the aforesaid letter, we allow the above Writ Petition in terms of prayer Clause (a), which reads thus :-

“a. that this Hon'ble Court be pleased to issue a Writ of Certiorari or any other appropriate Writ, Order or Direction under the Article 226 of the Constitution of India calling for all papers and proceedings of the Deceased's case for the AY 2017-18; and after examining the validity, legality and propriety thereof quash, cancel and set aside the Impugned Show Cause Notice under section 148 Act dated. 28th June 2021, Impugned Order under section 148A(d) of the Act dated 21st July 2022, Impugned Notice under section 148 of the Act dated 21st July 2022, Impugned Assessment Order passed under section 147 r.w.s 144 of the Act on 8th May 2023 and Impugned Demand Notice issued under section 156 of the Act on 8th May 2023, issued by Respondent No. 1;”

5. The Respondent - Revenue is now free to take out appropriate proceedings for re-assessment against the legal heirs of Mr. Pratap Lalchand Shah, if otherwise permissible in law.
6. The Writ Petition is disposed of in the aforesaid terms. However, there shall be no order as to costs.
7. This order will be digitally signed by the Private Secretary/Personal Assistant of this Court. All concerned will act on production by fax or email of a digitally signed copy of this order.

(FARHAN P. DUBASH, J.)

(B. P. COLABAWALLA, J.)

Jyoti Pawar

Digitally
signed by
JYOTI
PRAKASH
PAWAR
Date:
2026.09.17
19:53:01
+0530